

Amana Takaful Life PLC

Interim Report

31st March 2017



STATEMENT OF FINANCIAL POSITION

AS AT	Notes	Unaudited as at 31.03.2017 Rs.	Audited as at 31.12.2016 Rs.
ASSETS			
Intangible Assets		23,224,612	23,548,554
Property, Plant and Equipment		16,334,887	17,466,682
Financial Assets	3	1,082,489,140	1,018,398,153
Retakaful (Reinsurance) Receivables		4,255,222	2,250,872
Contribution (Premium) Receivable		23,093,940	27,199,034
Other Assets		30,957,189	38,754,561
Other Assets - Unit Linked		35,821,362	32,055,415
Financial Assets - Unit Linked		1,467,303,861	1,441,276,267
Cash and Bank Balances	4	21,005,491	34,456,620
Cash and Bank Balances - Unit Linked	4	67,860,403	72,192,842
Total Assets		2,772,346,105	2,707,599,000
LIABILITIES			
Insurance Contract Liabilities - Family Takaful Fund		569,024,592	559,913,844
Insurance Contract Liabilities- Family Takaful Unit Linked		1,529,464,641	1,504,144,873
Employee Benefits		5,022,895	4,316,884
Finance Lease Liability		5,954,924	6,200,918
Other Liabilities - Unit Linked		44,287,593	50,315,575
Other Liabilities		81,539,644	59,189,744
Total Liabilities		2,235,294,289	2,184,081,838
SHAREHOLDERS' EQUITY			
Stated Capital		500,000,000	500,000,000
Revaluation Reserve		120,142	120,142
Revenue Reserves		36,931,674	23,397,019
Total Equity		537,051,816	523,517,162
Total Liabilities and Equity		2,772,346,105	2,707,599,000

The notes form an integral part of the Financial Statements.

I certify that the preparation and presentation of these Financial Statements comply with the requirements under Companies Act, No. 07 of 2007.

Signed
M. Rinaz Niyas
Head of Finance

Signed for and on behalf of the Board,

Signed
Gehan Rajapakse
Chief Executive Officer

Signed
M. Fazal Ghaffoor
Director

Colombo
15th May 2017

Signed
M.H.M. Rafiq
Director

STATEMENT OF PROFIT OR LOSS

FOR THE PERIOD ENDED 31ST MARCH	Notes	Unaudited 2017 Rs.	Unaudited 2016 Rs.	Change %
Gross Written Contribution (Premium)	5	191,057,723	219,672,514	-13%
Retakaful Contribution (Reinsurance Premium)		(6,571,594)	(6,216,761)	6%
Net Written Contribution (Premium)		184,486,129	213,455,753	-14%
Net Change in Reserve for Un-Earned Contribution (Premium)		(1,902,142)	(272,266)	599%
Net Earned Contribution (Premium)		182,583,987	213,183,487	-14%
Other Revenue				
Income from investments		69,536,801	20,086,057	246%
Other income		2,661,541	2,345,770	13%
Total Revenue	6	254,782,329	235,615,313	8%
Benefits, Losses and Expenses				
Takaful (Insurance) claims and benefits		(122,184,286)	(69,197,232)	77%
Acquisition Cost (net of reinsurance commission)		(22,869,995)	(26,687,643)	-14%
Change in Family Takaful Contract Liability		(32,528,720)	(75,276,247)	-57%
Other Operating and Administration Expenses		(61,847,796)	(61,372,337)	1%
Depreciation		(1,131,795)	(914,946)	24%
Total Claims, Benefits and Expenses		(240,562,593)	(233,448,405)	-3%
Profit from Operations		14,219,736	2,166,908	-556%
Finance cost		(327,993)	(140,527)	-133%
Profit Before Taxation	8	13,891,743	2,026,381	586%
Income Tax Expenses	9	-	-	0%
Net Profit for the Period		13,891,743	2,026,381	-586%
Basic / Diluted Earnings Per Share To Equity Holders	15	Rs 0.028	Rs 0.004	586%
Dividend per share				
Interim dividend paid per share		-	-	-
Final proposed dividend per share		-	-	-

STATEMENT OF OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 31ST MARCH	Unaudited 2017 Rs.	Unaudited 2016 Rs.	Change %
Other Comprehensive Income			
Profit for the period	13,891,743	2,026,381	586%
Net Change in Fair Value of Available for Sale Financial Assets transfer (to)/ from Life Policyholder's Reserve	(357,088)	(5,291,155)	
Total Comprehensive Income for the period	13,534,655	(3,264,774)	515%

STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 31st MARCH 2017

	Revenue Reserves				
	Stated Capital (Rs)	Revaluation Reserve (Rs)	Accumulated Profit (Rs)	Policy Holder's Reserve (Rs)	Total Equity (Rs)
Balance as at 01st January 2016	500,000,000	2,169,475	13,522,946	(98,867)	515,593,554
Net Profit for the period	-	-	2,026,381	-	2,026,381
Other Comprehensive Income					
Net Change in Fair Value of Available for Sale Financial Assets transfer - (to)/ from Life Policyholder's Reserve	-	-	-	(5,291,155)	(5,291,155)
Total Comprehensive Income	-	-	2,026,381	(5,291,155)	(3,264,774)
Balance as at 31st March 2016	500,000,000	2,169,475	15,549,327	(5,390,022)	512,328,780
Net Profit for the period	-	-	33,664,688	-	33,664,688
Other Comprehensive Income					
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	-	-
Net Change in Fair Value of Available for Sale Financial Assets - (to)/ from Life Policyholder's Reserve	-	-	-	2,513,510	2,513,510
Net Change in Fair Value of Available for Sale Financial Assets - Transferred to the Income Statement	-	-	-	87,434	-
Defined Benefit Plan Actuarial Losses, Net of deferred Tax	-	-	(1,637,240)	-	(1,637,240)
Total Comprehensive Income	-	-	32,027,448	2,600,945	34,540,958
Transfer of Revaluation Surplus to Retained Earnings, at the disposal		(2,049,333)	2,049,333		-
Expenses on Initial Public Offer			(13,440,011)		(13,440,011)
Dividend paid	-	-	(10,000,000)	-	(10,000,000)
Balance as at 31st December 2016	500,000,000	120,142	26,186,097	(2,789,077)	523,517,162
Net Profit for the period	-	-	13,891,743	-	13,891,743
Other Comprehensive Income					
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	(357,088)	(357,088)
Total Comprehensive Income	-	-	13,891,743	(357,088)	13,534,655
Dividend paid	-	-	-	-	-
Issue of Ordinary Shares		-	-	-	-
Balance as at 31st March 2016	500,000,000	120,142	40,077,840	(3,146,166)	537,051,816

CASH FLOW STATEMENT

FOR THE PERIOD ENDED 31st MARCH 2017	Notes	Unaudited 2016 Rs	Unaudited 2015 Rs
Cash Flows from Operating Activities			
Contribution (Premium) received from customers		196,714,315	224,313,022
Claims and Benefits paid		(91,862,315)	(92,638,733)
Cash paid to and behalf of Employees		(32,132,467)	(26,599,523)
Profits received from Investments and Other Income		30,357,267	21,121,254
Finance Cost paid		(327,993)	(140,527)
Dividends received		542,893	285,270
Other operating cash payments		(30,710,533)	(66,218,454)
Cash Flow from Operating Activities (Note A)		72,581,167	60,122,309
Gratuity Paid		-	-
Net Cash Flow from Operating Activities		72,581,167	60,122,309
Cash Flows from used in Investing Activities			
Net Disposal/(Purchase) of Investment Securities		(155,188,884)	(149,194,822)
Purchase of Property, Plant & Equipment		-	(95,200)
Net Cash Flows from used in Investing Activities		(155,188,884)	(149,290,022)
Cash Flows used in Financing Activities			
Repayment of Finance Lease Liability		(245,993)	-
Net cash flows used in Financing Activities		(245,993)	-
Decrease in Cash and Cash Equivalents (Note B)		(82,853,710)	(89,167,713)

NOTE A

Reconciliation of Operating Profit with Cash Flows from Operations			
FOR THE PERIOD ENDED 31st MARCH		Unaudited 2017 Rs	Unaudited 2016 Rs
Profit from Operations		14,219,736	2,166,908
Depreciation		1,131,795	914,946
Amortisations		323,942	245,455
Provision for Gratuity		706,011	219,999
Unrealised (Income)/Losses		(357,088)	(5,291,155)
(Increase)/Decrease in Debtors and Other Assets		6,132,168	(8,797,006)
Increase in Family Takaful (Long Term Insurance) Fund		32,528,537	75,276,064
Increase/(Decrease) in Unearned Contribution (Premium)		1,902,142	272,266
Increase/(Decrease) in Other Creditors		16,321,917	(4,744,641)
Finance Cost Paid		(327,993)	(140,527)
Cash Flows from Operating Activities		72,581,167	60,122,309
Note B			
Increase/(Decrease) in Cash and Cash Equivalents			
Cash at bank and in Hand and Cash Equivalents			
Cash and Cash Equivalents at the end of the period		214,244,053	312,498,074
Cash and Cash Equivalents at the beginning of the year	4	297,097,763	401,665,787
Decrease in Cash and Cash Equivalents		(82,853,710)	(89,167,713)

STATEMENT OF FINANCIAL POSITION - SEGMENTAL ANALYSIS

AS AT 31.03.2017	Unaudited			
	Family Takaful Fund Rs.	Shareholders' Fund Rs.	Adjustments Rs.	Total Rs.
ASSETS				
Intangible Assets	-	23,224,612	-	23,224,612
Property, Plant and Equipment	-	16,334,887	-	16,334,887
Financial Assets	601,491,178	480,997,962	-	1,082,489,140
Retakaful Receivable	4,255,222	-	-	4,255,222
Contribution (Premium) Receivable	23,093,940	-	-	23,093,940
Other Assets	12,482,395	18,474,795	-	30,957,190
Other Assets - Unit Linked	35,821,362	-	-	35,821,362
Financial Assets - Unit Linked	1,467,303,861	-	-	1,467,303,861
Management Fee Receivable	-	94,123,498	(94,123,498)	-
Interfund Receivable	51,557,939	-	(51,557,939)	-
Cash and Bank Balances	20,394,903	610,588	-	21,005,491
Cash and Bank Balances - Unit Linked	67,860,403	-	-	67,860,403
Total Assets	2,284,261,201	633,766,341	(145,681,437)	2,772,346,105
LIABILITIES				
Insurance Contract Liability - Family Takaful Fund	569,024,592	-	-	569,024,592
Insurance Contract Liability - Family Takaful Linked Unit Linked	1,529,464,641	-	-	1,529,464,641
Inter Fund Payables	-	51,557,939	(51,557,939)	-
Employee Benefits	-	5,022,895	-	5,022,895
Finance Lease Liability	-	5,954,924	-	5,954,924
Management Fee Payable	94,123,498	-	(94,123,498)	-
Other Liabilities	50,507,043	31,032,601	-	81,539,644
Other Liabilities - Unit Linked	44,287,593	-	-	44,287,593
Total Liability	2,287,407,367	93,568,359	(145,681,437)	2,235,294,289
SHAREHOLDERS' EQUITY				
Stated Capital	-	500,000,000	-	500,000,000
Revaluation Reserve	-	120,142	-	120,142
Revenue Reserves	(3,146,166)	40,077,840	-	36,931,674
Total Equity	(3,146,166)	540,197,982	-	537,051,816
Total Equity and Liability	2,284,261,201	633,766,341	(145,681,437)	2,772,346,105

The above Long Term Insurance (Family Takaful) Statement of Financial Position is to be read in conjunction with the Company Statement of Financial Position.

STATEMENT OF FINANCIAL POSITION - SEGMENTAL ANALYSIS

AS AT 31.12.2016	Audited			
	Family Takaful Fund Rs.	Shareholder's Fund Rs.	Adjustments Rs.	Total Rs.
ASSETS				
Intangible Assets	-	23,548,554	-	23,548,554
Property, Plant and Equipment	-	17,466,682	-	17,466,682
Financial Assets	579,238,017	439,160,136	-	1,018,398,153
Retakaful Receivable	2,250,872	-	-	2,250,872
Contribution (Premium) Receivable	27,199,034	-	-	27,199,034
Other Assets	5,716,680	33,037,881	-	38,754,561
Other Assets - Unit Linked	32,055,415	-	-	32,055,415
Financial Assets - Unit Linked	1,441,276,267	-	-	1,441,276,267
Management Fee Receivable	-	70,255,410	(70,255,410)	-
Interfund Receivable	40,602,551	-	(40,602,551)	-
Intercompany Receivable	-	-	-	-
Cash and Bank Balances	19,923,347	14,533,273	-	34,456,620
Cash and Bank Balances - Unit Linked	72,192,842	-	-	72,192,842
Total Assets	2,220,455,023	598,001,938	(110,857,961)	2,707,599,000
LIABILITIES				
Insurance Contract Liability - Family Takaful Fund	559,913,844	-	-	559,913,844
Insurance Contract Liability - Family Takaful Linked Unit Linked	1,504,144,873	-	-	1,504,144,873
Inter Fund Payables	-	40,602,551	(40,602,551)	-
Employee Benefits	-	4,316,884	-	4,316,884
Finance Lease Liability	-	6,200,918	-	6,200,918
Management Fee Payable	70,255,410	-	(70,255,410)	-
Other Liabilities	38,614,398	20,575,347	-	59,189,744
Other Liabilities - Unit Linked	50,315,575	-	-	50,315,575
Total Liability	2,223,244,100	71,695,699	(110,857,961)	2,184,081,838
SHAREHOLDERS' EQUITY				
Stated Capital	-	500,000,000	-	500,000,000
Revaluation Reserve	-	120,142	-	120,142
Revenue Reserves	(2,789,077)	26,186,097	-	23,397,020
Total Equity	(2,789,077)	526,306,239	-	523,517,162
Total Equity and Liability	2,220,455,023	598,001,938	(110,857,961)	2,707,599,000

The above Long Term Insurance (Family Takaful) Balance Sheet is to be read in conjunction with the consolidated Statement of Financial Position.

NOTES TO THE FINANCIAL STATEMENTS

1. Figures in the Interim Financial Statements for the period ended 31st March 2017 are provisional and unaudited.

2. These Interim Financial Statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards (SLAS) prefixed both SLFRS (corresponding to IFRS) and LKAS (corresponding to IAS), promulgated by the Institute of Chartered Accountants of Sri Lanka (ICASL) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000.

The principal activities of the Company are underwriting of Family (Life) Takaful Insurance businesses. However, in line with the IBISL guidelines for segregation of composite insurance companies, the commercial operations of the Company commenced with effect from 1st January 2015.

The same accounting policies and methods of computation as stated in the Audited Financial Statements 2016 have been followed in preparation of these Interim Financial Statements. Comparative information has been re-valued/re-classified where necessary, to confirm to the current period recognition, measurement and presentation.

3. Financial Assets

AS AT	Unaudited as at 31.03.2017 Rs.	Audited as at 31.12.2016 Rs.
Financial Assets at Fair Value Through Profit or Loss (3.1)	19,662,156	18,939,154
Available For Sale Financial Assets (3.2)	24,567,028	24,595,623
Loans & Receivables (3.3)	1,038,259,956	974,863,376
	1,082,489,140	1,018,398,153

AS AT	Unaudited as at 31.03.2017 Rs.	Audited as at 31.12.2016 Rs.
3.1 Financial Assets at Fair Value Through Profit & Loss		
Investments in Equity Securities	19,662,156	18,939,154
	19,662,156	18,939,154
3.2 Available For Sale Financial Assets		
Unit Trust	24,567,028	24,595,623
	24,567,028	24,595,623
3.3 Loans and Receivable		
Repurchase Agreements	284,144,015	284,299,622
Commercial Papers	26,883,562	233,531,945
Mudharaba Investments	727,232,380	457,031,809
	1,038,259,956	974,863,376

4. Cash and Cash Equivalents in Statement of Cash Flow

	31.3.2017 Rs.	31.12.2016 Rs.
Cash and Bank Balances	21,005,491	34,456,620
Cash and Bank Balances - Unit Linked	67,860,403	72,192,842
Investment in Government Securities	125,378,160	190,448,301
	214,244,053	297,097,763

NOTES TO THE FINANCIAL STATEMENTS

5. Gross Written Premium (Contribution)

FOR THE PERIOD ENDED 31ST MARCH	Unaudited 2017 Rs.	Unaudited 2016 Rs.
5.1 Long Term Insurance (Family Takaful)		
Family Takaful	28,169,682	27,249,526
Mortgage & Group Family Takaful	14,167,075	17,784,675
Unit Linked	148,720,966	174,638,313
Total Gross Written Premium	191,057,723	219,672,514

6. Revenue

6.1 Revenue by Segment

FOR THE PERIOD ENDED 31ST MARCH	Unaudited 2017 Rs.	Unaudited 2016 Rs.
Segment		
Long Term (Family Takaful)	240,640,817	230,612,640
Shareholders' Fund	14,141,512	5,002,673
	254,782,329	235,615,313

6.2 Revenue

FOR THE PERIOD ENDED 31ST MARCH	Unaudited 2017 Rs.	Unaudited 2016 Rs.
Gross written Contribution (Premium)	191,057,723	219,672,514
Less :		
Reinsurance premium	(6,571,594)	(6,216,761)
Net written premium	184,486,129	213,455,753
(Increase)/decrease in net unearned premium	(1,902,142)	(272,266)
Net earned premium	182,583,987	213,183,487
Income from investments	69,536,801	20,086,056
Other income	2,661,541	2,345,770
Revenue	254,782,329	235,615,313

7. The Company has not done a valuation of the insurance contract liabilities - Life (Family Takaful) by the consultant actuary for the period ended 31st March 2016. Valuation will be performed annually.

8. Profit Before Taxation by Segment

FOR THE PERIOD ENDED 31ST MARCH	Unaudited 2017 Rs.	Unaudited 2016 Rs.
Segment		
Shareholders' Fund	13,891,743	2,026,381
Total	13,891,743	2,026,381

NOTES TO THE FINANCIAL STATEMENTS

9. Amana Takaful Life PLC is liable for income tax at 28% (2016 - 28%)

10. The nature of related party transactions in the current period is similar to those reported in the issued Financial Statements 2016.

11. The Company listed on Diri Savi Board of the Colombo Stock Exchange by way of offering 50 million ordinary voting shares at 1.50 rupees per share, which represents a 10 percent stake in the Company in 2016. The Board of Directors is of the opinion that the Share Offer Price is fair and reasonable to the Company and to all existed shareholders. The Share Offer Price was determined by the Company in consultation with the Independent Valuer to the Offer, and the Financial Advisor and Manager to the Offer in accordance with independent valuation report compiled by the Independent Valuer to the Offer.

12. Comparative figures have been restated wherever necessary to conform to the current periods presentation.

13. There has not been a significant change in the nature of the contingent liabilities as disclosed in the issued Financial Statements 2016.

14. No events have occurred since the reporting date that necessitates adjustments to or disclosure in the Financial Statements.

15. Basic Earnings per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the period.

	Unaudited 31.3.2017	Unaudited 31.3.2016
Amount used as the Numerator		
Net Profit attributable to Ordinary Shareholders (Rs.)	13,891,743	2,026,381
Number of Ordinary Shares used as Denominator:		
Ordinary shares - Voting	500,000,000	500,000,000

16. Share Information

	31.3.2017 Rs.	31.12.2016 Rs.
Net asset value per share	1.07	1.05
Market price per share as at	1.30	1.30
Highest price per share for the period	1.50	1.70
Lowest price per share for the period	1.10	1.20

NOTES TO THE FINANCIAL STATEMENTS

17. Twenty Largest Shareholders as at 31st March 2017

Name of Shareholder	No. of Shares	%
Amana Takaful PLC	450,000,000	90.00
Dr.Thirugnanasambandar Senthilvel	32,346,473	6.47
Mr. Behman Pestonjee	1,962,000	0.39
Amana Candor Shariah Balanced Fund	1,000,000	0.20
Miss. Malaviyage Nisansala Lakmali Silva	501,000	0.10
Mr. Abdul Azees Mohamed Anas	491,000	0.10
Amana Holdings Limited	489,000	0.10
Mr. Ahamad Mohamed Subair	344,000	0.07
Mr. Mohamed Sahabdeen Mohamed Ikram	319,000	0.06
Mr. Muhammadu Muyeess Mohammad Abdul Cader	246,000	0.05
Mr. Mohamed Luthufur Rahman	246,000	0.05
Miss Manchanayaka Appuhamillage Yasassri Rangana Manchanayaka	246,000	0.05
Miss Manchanayake Appuhamillage Buddima Chathuri Manchanayake	246,000	0.05
Mr. Manchanayaka Appuhamillage Tharindu Ganganath Manchanayaka	246,000	0.05
Mr. Mohamed Nizamdeen Mohamed Nazir	246,000	0.05
Mrs. Epa Ranasinghe Imiya Appuhamillage Anoja Ranasinghe	246,000	0.05
Mrs. Manchanayaka Appuhamillage Nandanie Somalatha Manchanaya	197,000	0.04
Mr. Mohamed Ismail Mohamed Rizam	197,000	0.04
Mrs. Gnanawathie Michel Jayawila	197,000	0.04
Mr. Hetti Arachchige Shanaka Samewa Rodrigo	197,000	0.04
	489,962,473	97.99
Others	10,037,527	2.01
Total	500,000,000	100.00

The percentage of shares held by the public as at 31st March 2017 was 9.9% (31.12.2016 - 9.9), where the number of shareholders was 801 (31.12.2016 - 772).

18. Directors' Shareholdings

	No. of Shares 31.3.2017	No. of Shares 31.12.2016
Mr. Tyeab Akbarally	Nil	Nil
Mr. M.H.M. Rafiq	Nil	Nil
Dato' Mohd. Fadzli Yusof	Nil	Nil
Dr.I.A. Ismail	Nil	Nil
Mr. R. Gopinath	Nil	Nil
Mr. M. Fazal Ghaffoor	Nil	Nil
Mr. Ammar Kassim	Nil	Nil

CORPORATE INFORMATION

NAME OF THE COMPANY

Amana Takaful Life PLC

LEGAL STATUS

Public Quoted Company with Limited Liability
incorporated in Sri Lanka on 10th July 2014.

COMPANY REGISTRATION NUMBER

PB 5202 PQ

TAX PAYER IDENTIFICATION NUMBER(TIN)

139052021

STOCK EXCHANGE LISTING

The shares of the Company are listed in the Second
Board of the Colombo Stock Exchange, Sri Lanka on
18th August 2016. Stock Exchange Code for Amana
Takaful Life PLC shares is 'ATLL'.

DIRECTORS

Mr. Tyeab Akbarally - Chairman
Mr. M.H.M. Rafiq
Dato' Mohd Fadzli Yusof
Dr. I.A. Ismail
Mr. R. Gopinath
Mr. M. Fazal Ghaffoor
Mr. Ammar Kassim

REGISTERED OFFICE

No. 660 - 1/1, Galle Road, Colombo 03, Sri
Lanka

AUDITORS

Ernst & Young Chartered Accountants

SECRETARIES

Managers & Secretaries (Pvt) Ltd

REINSURANCE PANEL

Score Re
Hannover Re

CONSULTANT ACTUARIES - LONG-TERM INSURANCE

Actuarial Partners Consulting Sdn Bhd
Suite 17.02 Kenanga International Jalan
Sultan Ismail 50250
Kuala Lumpur, Malaysia

SHARIAH ADVISORY COUNCIL

Mufti M.I.M. Rizwe - Chairman
Ash-Sheikh Fazil Farook
Ash-Sheikh Murshid Mulaffar- Secretary

CHIEF EXECUTIVE OFFICER

Mr. Gehan Shivantha Rajapakse

PRINCIPAL BANKERS

Amana Bank PLC/Pan Asia Bank/NDB Bank/Bank of Ceylon
Commercial Bank/Sampath Bank/HNB/Nations Trust Bank/Deutsche Bank